

PUBLIC DEBT MANAGEMENT

PUBLIC DEBT MANAGEMENT OFFICE

Source: Government of Kenya , National Treasury & Economic Planning Website- adapted

The Directorate is headed by a Director General, reporting to the Cabinet Secretary. The main objectives of the Directorate is to:-

- Minimise the cost of public debt management and borrowing over the long-term taking account of risk
- Promote the development of the market institutions for Government debt securities; and,
- Ensure the sharing of the benefits and costs of public debt between the current and future generations.

A. DEBT POLICY, STRATEGY AND RISK MANAGEMENT DEPARTMENT

The department's main functions include: –

- Carrying out the government's debt management policy of minimizing its financing cost over the long-term taking account of risk through preparation, implementation and review of the medium-term debt Strategy;
- Monitor and evaluate all borrowing and debt-related transactions to ensure that they are within the guidelines and risk parameters of the debt management strategy;
- Process the issuance of loan guarantees including assessment and management of risks in national government guarantees and Public Private Partnerships (PPP).

- Transact in derivative financial instruments in accordance with best international practices bench-marked to the debt management offices of other governments that are internationally respected for their practices.
- Prepare statutory debt related reports for the Cabinet Secretary;
- Undertake periodic public debt sustainability analysis, portfolio risks and costs analysis;
- Review public debt management policy and guidelines;
- Advise and coordinate domestic debt market for government debt securities;

B. RESOURCE MOBILIZATION DEPARTMENT

The department has several divisions, whose main functions are to: –

- Undertake domestic and foreign borrowing including raising of grants in accordance relevant laws;
- Prepare and implement the national government borrowing plan and in consultation with the fiscal agent prepare the annual domestic debt issuance calendar;
- Act as the principal in the issuance of Government debt securities on behalf of the National Treasury through the Implementation of government securities auction calendar;
- Undertake investor relations activities, roads shows, net shows, liaison and coordination with creditors and market participants;
- Process Government Guarantees;
- Coordinate missions and technical assistance from cooperating development partners

C. BORROWING BY THE NATIONAL TREASURY

Every financial year, the Government borrows to finance fiscal deficit as stipulated in the Budget Policy Statement and also to pay off maturing debts. The Medium-Term Debt Management Strategy gives the borrowing composition optimising costs and risks of public debt management. The Government borrows from external and domestic sources.

External sources:

- Loans, (bilateral, multilateral or syndication)

- Issuance of international sovereign bonds

Domestic sources:

- **Treasury bills**

(Added: A Treasury Bill is a short-term government debt security that is issued by the Treasury to fund short-term financing needs. T-Bills have a maturity of one year or less and are sold at a discount to their face value. When the bill matures, the holder receives the full face value. The difference between the purchase price and the face value represents the interest earned by the investor. T-Bills are considered low-risk investments since they are backed by the government.)

- **Treasury bonds**

(Added: A Treasury Bond is a long-term government debt security with a maturity of more than 10 years, typically 20 or 30 years. These bonds pay interest to the holder every six months until maturity, at which point the face value is returned. Like T-Bills, T-Bonds are also backed by the government and are considered a low-risk investment. The interest payments are typically higher than those of T-Bills due to the longer investment period.)

Domestic issuance of securities is through the Central Bank of Kenya as fiscal agent of the Government.

a) Treasury bills

These are secure, short-term investment instruments which are are issued every week on Thursdays and settled on Monday. In terms of tenors, they are categorised into 91-days, 182 days and 364-days. They are sold at a discount meaning that the investors can choose the amount that they will receive when the bill matures, and pay less than the amount when purchasing it. Individuals and corporate bodies can invest in Treasury bills as a nominee of a commercial bank or investment bank, or if one hold a bank account with a local commercial bank, they can also invest directly through the Central Bank.

b) Treasury bonds

They are secure, medium to long-term investment that typically offer interest payments every six months throughout the bond's maturity. The are issued on a monthly basis with tenors of 2, 5, 10, 15, 20 and 25 years. In addition, the Government occasionally issues tax-exempt infrastructure bonds which are very attractive in terms of investment. Individuals and corporate bodies can invest in Treasury bonds as a nominee of a commercial bank or investment bank, or if one holds a bank account with a local commercial bank, they can also invest directly through the Central Bank.

c) Auction Rules

To lend to Government, an investor submits a bid of an amount to be invested and defines interest. Every submitted bids must comply with the following rules and guidelines:

- Investors in the diaspora may submit their bids via email: primaryissues@centralbank.go.ke
- Application forms for bids may be downloaded from the CBK website and are also available at the Financial Markets counter in the CBK banking hall, CBK branches and Centres.
- In the case of manual submissions, bids must be submitted using application forms available at the Central Bank of Kenya (Fiscal Agent): https://www.centralbank.go.ke/; and +254 20 286 0000. Fully completed and signed forms must be dropped in the Tender boxes, clearly marked "Treasury Bills/Treasury Bonds" in the banking hall during the sale period specified in the advertisement.

d) Borrowing through Eurobonds/International Sovereign Bonds

These are debt instruments sold to investors largely in key source markets outside Kenya. They are exchange-listed or traded (e.g. in Luxembourg, London or Dublin), and therefore, disclosure requirements must conform to exchange practices and the financial markets authorities in those jurisdictions. Lastly the interest payments on Eurobonds, are paid semi-annually and are free of any withholding, income or other taxes.

e) Borrowing through loans

National Treasury may borrow money from credible sources including from: multilateral, bilateral and commercial institutions sources.

Under the bilateral and multilateral creditors, the terms are concessional i.e. long grace periods and maturities, and low interest rate; they are focused on economic development and social welfare. The commercial creditors offer terms that are market based and the loans can be project specific or for budget support.

f) Borrowing through private placement of Government securities

The Government can also raise money through selling of bonds to pre-selected investors, banks and other financial institutions, mutual funds, insurance companies, and pension funds through private placement.

g) Bilateral sources

Refers to borrowings in a government to government arrangement. The arrangement follow country cooperation framework or Memorandum of Understanding as signed by the countries involved.

h) Multilateral sources

Under the multilateral sources, the terms are concessional i.e. long grace periods and maturities, and low interest rate; they are focused on economic development and social welfare. Such institutions include the IMS, World Bank, African Development Bank among others.

i) Borrowing through Export Credit Agency loans

Refers to borrowings that are facilitated by a specific country export credit agency and guaranteed or insured to help mitigate against uncertainty of exporting to other countries. Some of the terms include: Disbursements are linked to shipments of contracted merchandise; Interest rates are market-related – linked to OECD Consensus Guidelines and; Maturities are different but not more than 10 year.

j) Funding through Public Private Partnership model

Under the Public Private Partnership Act, 2021, Government entities can contract private sector entities to provide public utilities through long-term contractual agreements. PPP model provides public services through private sector which bears a significant amount of risk and management responsibility in return for revenue from charged services or availability payments from Government. The PPP arrangement builds on the expertise that the private sector brings in effectively managing PPP projects while the public entity ensures that the overarching social obligations are met.

k) Lending to Government

Individuals and institutions wishing to lend to Government are required to have a bank account with a Kenyan commercial bank and to open an investment account at the Central Bank of Kenya (Fiscal Agent). To open an investment account, an investor is required to collect and fill a mandate card from the Central Bank or any of its branches.

l) Investing through M-Akiba

National Government issues retail securities (bonds) for financial empowerment of its citizens. Retail bonds are issued through mobile phone platform (code named M-Akiba (Mobile/Digital bond). These are issued by the Public Debt Management Office through mobile/Telecommunication Network Operations. Currently M-Akiba issuance is undergoing re-engineering and through the e-citizen platform and will be relaunched when the re-engineering process is completed.

D. DEBT RECORDING AND SETTLEMENT DEPARTMENT

The department is divided into two (2) divisions and its main functions include:

- Maintaining a reliable debt data base for all loans taken by the national government, county governments and their entities including other loans guaranteed by the national government;
- Process and settle debt service and disbursement of loans and grants;
- Prepare, reconcile and maintain financial statements on debt and grants related transactions and submit to the Accounting Officer responsible for finance;
- Maintain public debt registry;
- Maintain a comprehensive and reliable debt database for public debt and grants; and
- Monitor and report disbursement of loans and grants.

SUMMARY (ADDED)

1. Sources of Debt(borrowing)
    - **Domestic**:
        - Treasury Bills
        - Treasury Bonds
    - **External**:
        - Loans (Bilateral, Multilateral, Syndicated) - A syndicated loan is a loan provided by a group of lenders (often called a syndicate) to a single borrower. This type of loan is typically used for large-scale financing needs that are too big for a single lender to handle alone
        - International sovereign bonds
2. Government Debt Instruments
    - Treasury Bills
    - Treasury Bonds
    - Public Private Partnerships (PPPs)
    - Loans (Bilateral, Multilateral, Syndicated)
    - Government securities
    - Euro bonds/International sovereign bonds
    - Export Credit Agency loans
    - Retail securities (bonds)

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